



THE TOTAL MONEY MAKEOVER

A Proven Plan For Financial Fitness

DAVE RAMSEY



The Big “So What”

Many Americans are debt-ridden and live from paycheck to paycheck. This book debunks myths about money and debt, and provides a **proven step-by-step plan to help you become debt-free and wealthy**. If you embrace the ideas in this book and implement the steps consistently, you *will* regain your financial health and transform your life.



Introduction



A shocking number of Americans are in poor financial health. 88% of graduating college students have credit-card debts *before* they have jobs, 60% of Americans don't pay off their monthly credit card bills, 91% of families have no/little savings for their kids' college education, and 49% only have enough savings to last <1 month if they lose their household income.



To change your financial situation, you need 20% know-how and 80% action. Just like how we learn to read, write and drive, we must learn about money and master the skills through practice.

- Adopt financial principles and processes that work in both good and bad times. Unfortunately, during good times, people tend to become overconfident, develop bad financial habits, take huge risks and buy things they can't afford. When they're hit by bad times—be it an economic downturn, a job loss or a bad accident—they find themselves drowning financially with no backup options.
- The principles in this book are not new, and are actually very simple. The real challenge is in adopting them and taking concrete action to change the way you think and live. In this book, Ramsey (i) explains various financial principles vs myths, (ii) a 7-step plan to transform your life, and (iii) injects hope/

KEY QUOTES

"Personal finance is 80 percent behavior and only 20 percent head knowledge."

"What to do isn't the problem; doing it is. Most of us know what to do, but we just don't do it."

*"When the tide goes out, you can tell who was skinny-dipping."
-Warren Buffett*

"This is a process book. We are aiming at carefully weaving inspiration and information together into a step-by-step plan."

inspiration through stories of people who've successfully applied the plan. Regardless of your current financial situation, the key is to start taking action now to improve your financial health.



Addressing Obstacles to Financial Health

The Total Money Makeover (TMM) program is built on this underlying principle: if you will make the sacrifices now that most people won't, you can live later in a way that most people can't. To successfully embrace the TMM, you must first address several mental-emotional obstacles.

Overcome Self-denial



Change is uncomfortable and we tend to avoid it if possible. Thus, the first obstacle to overcome is yourself.



Face up to reality. If you're financially overweight (i.e. you have challenges with money), the first step is to acknowledge it so you can start getting back in shape.



Take 100% responsibility for your money and life. Stop finding excuses ("I have no time") or deluding yourself ("It's ok, there's no real problem"). Get financially fit before you get a financial heart attack. Don't fall into the trap of these 3 common risk denials:

- **Laziness:** Denying that you must put in effort to make money.
- **Fatalism:** Denying that you can do something in a bad situation.
- **False security:** Denying that there are risks in your current situation, e.g. thinking your job is 100% secure or your investments are 100% safe.

Debunk the Debt/Money Myths



Any lie, if repeated enough times, will start to seem like the truth. Our modern culture is filled with propaganda designed to influence our buying behaviors and lifestyle choices. To transform your financial health you must first change your perspectives about debt and money.

KEY QUOTES

"If you will live like no one else, later you can live like no one else."

"90 percent of solving a problem is realizing there is one."

"If you tell a lie often enough, loudly enough, and long enough, the myth will become accepted as a fact."

Debt is not a tool and won't bring you prosperity.

- Debt has become such an integral part of the American lifestyle that people *expect* to have housing mortgages, car payments, student loans and credit cards. You're constantly being brainwashed that to be successful or admired, you must wear a certain watch, drive a certain car, or join a certain club. You're also told that you should get these things *now* using debt. In reality, debt promotes instant gratification, encourages you to live beyond your means and exposes you to unnecessary financial risks.
- A loan makes the borrower a slave to the lender. That's why it's a bad idea to lend money to a friend or family member—it fundamentally shifts the balance of power and the relationship starts to deteriorate. Moreover, you're only helping your friend/relative to stay financially irresponsible, which hurts them in the long run. If you have extra cash and truly want to help, then give the money without expecting it back.
- Likewise, loan schemes like cash advances, payday loans or rent-to-own schemes do not genuinely help lower-income earners. The lenders actually charge high interest rates and make money at the expense of the poor.
- Learn to calculate the real costs of debt. If you buy a TV for \$1,000 under a "90 days same as cash" scheme, you do *not* get a free TV; you merely get a 90-day interest-free loan. Chances are, you won't get a discount and will be charged 24-38% interest if you don't pay the full \$1,000 within 90 days. If you had paid for the TV in cash, you could've negotiated a discount and avoided the interest payments. Better still, if you'd invested the \$1,000 instead of buying the TV, you'll be *earning* interests instead of paying it.

Debt is not necessary nor unavoidable:

- You do not need to build your credit. Your credit or FICO scores affect your ability to get mortgages/loans. However, you *don't* need to keep borrowing to improve your scores. You're better off building your financial health so you won't even need a loan.
- You do not need a credit card. 69% of bankruptcy filers state credit-card debt as the cause of bankruptcy, and 19% of bankruptcy filing are by college students. Use a debit card

KEY QUOTES

"It is human nature to want it and want it now; it is also a sign of immaturity."

"Debt is not a tool; it is a method to make banks wealthy, not you. The borrower truly is slave to the lender."

"I am not against the enjoyment of money. What I am against is spending money when you do not have money to begin with."

"Just as slaves born into slavery can't visualize freedom, we Americans don't know what it would be like to wake up to no debt."

instead of a credit card—it offers the same convenience without the risk of overspending and accruing huge interests from overdue payments.

- Debt consolidation is not a lasting solution. It may save you some short-term interest, but your debt levels will grow back quickly if you don't change your spending habits.



The real building-block for your wealth is your income. The key to wealth is to free up your income so you can invest and grow it. In "The Millionaire Next Door", Dr. Stanley shares how a typical millionaire lives in a middle-class home, drives a second-hand car, and buys jeans from Wal-Mart. They become wealthy not by incurring debt, but by spending less than what they earn and using the remaining cash to build wealth. They apply delayed gratification and focus on growing their money instead of living a lavish lifestyle.



Unfortunately, most people prefer to believe in the myth of easy money. They look for miracles and secrets to overnight riches which don't exist.

- If you don't plan and save for your retirement, don't count on the government or God to provide for you. If you don't set aside time for budgeting or financial planning, then you'll only have yourself to blame when you're stuck with no savings and no job during a financial downturn.
- You can't buy a DVD, learn some secrets and become rich with just a few hours a week. Likewise, you won't get rich on lottery or other games of chance. Take a closer look at the people in the lottery queues and you'll realize that they are *not* rich.
- The faster you let go of the illusion of easy money, the faster you can redirect your time, energy and efforts to building the right financial foundation.



Learn to discern the truth about investment-related products.

- Gold is not a secure investment for bad times. The historical rates of return for gold have been relatively low. In the event of total economic collapse, gold will have no more use or value than food, clothing and other essentials.

KEY QUOTES

"Looking good is when your broke friends are impressed by what you drive, and being good is having more money than they have."

"Money denial always involves an illusion, followed by disillusionment."

"Things won't be okay unless you make them that way... You are in charge of your retirement."

"The lottery is a tax on poor people and on people who can't do math."

"The secrets of the rich don't exist, because the principles aren't a secret."

- Mobile homes or trailers aren't good investments either as their value depreciates rapidly.
- Most whole life insurance products (that bundle insurance and savings) yield poor returns. By all means get insurance for your home, car or permanent disability, but do *not* use insurance as a form of saving or investment.
- Do not prepay for something (e.g. your funeral or your kids' college fees) to protect yourself against inflation, since your rate of return will be capped at the rate of inflation. Pre-plan for such expenses but don't pre-pay them.

Conquer Ignorance and Social Pressure



 The typical American family has much more debt than savings, and no control over their finances. Couples quarrel over money and struggle with debt payment, taxes, and family expenses. Yet, people continue to live beyond their means; they buy houses, cars and lifestyle items on credit, only to lose everything when they get a pay-cut or lose their jobs. Stop following the ignorant masses; to become rich, you must learn from rich people.

 Prioritize your financial goals over others' opinions.

- It's normal to want to feel accepted and respected, but there's no point in trying to impress others with a lifestyle you can't afford. Aim to be truly wealthy, not just *appear* to be wealthy.
- Have the guts to resist peer pressure: Say "no" to that expensive meal or the luxury trip beyond your budget. Be willing to give up your nice cars and boats or admit that you can't afford them yet. The good news is, once you have built your wealth, you'll be able to buy them using cash, not debt.



Total Money Makeover: Your 7-Step Financial Plan

The TMM is built on a series of Baby Steps, each acting as a building block for the next step.

 Just like how you'd eat an elephant 1 bite at a time, you become financially ultra-fit 1 Baby Step at a time. Don't skip any step.

KEY QUOTES

"Ignorance is not lack of intelligence; it is lack of know-how."

"We buy things we don't need with money we don't have in order to impress people we don't like."

"To wish for the admiration of others is normal. The problem is that this admiration can become a drug."

"The paradox is that by shortcutting the process, you are much more likely to fail."



Before you begin, do up a written budget. At the start of each month, set up a zero-based budget where income = expenses. Every dollar you earn must be accounted for on paper—for bills, debt repayment, savings etc. This forms a baseline for your next 7 steps.

1. Set up a \$1,000 Mini Emergency Fund



Do whatever you must to save \$1,000 asap, e.g. cut your expenses, work extra hours, cut your expenses or do a part-time project.

- You *will* have an emergency at some point. Without a contingency fund, you're likely to throw all your financial plans out of the window. This starter fund can tide you through a mini-emergency without falling back on debt or credit cards.
- Make sure you keep it for true emergencies, i.e. something unpredictable but impactful, like a major illness or retrenchment. Car repairs, textbooks for the kids or Christmas dinners are *not* emergencies; with pre-planning, you could've saved up for them.



Keep the \$1,000 out of sight, e.g. in a separate savings account. One of Ramsey's clients placed the money in a photo frame at the back of the closet wall with the words "In case of emergency, break glass". If you use your emergency funds at any point during the TMM plan, return to Step 1 to top up the \$1,000 before proceeding further.

2. Start your "Debt Snowball"



Debt payments drain your monthly income and cultivate debt-dependency. Eliminate your debts to regain control of your income and free up cash for wealth-building.

- According to the Federal Reserve, an average person pays \$495 a month for a car over 64 months. Once the car is fully paid off, the person would buy a new car and restart the payments. The same \$495, if invested monthly (from age 25 to 65) in a mutual fund at 12% returns, will give you almost \$5.9 million by 65 years old.

KEY QUOTES

"We will climb the whole mountain, but not until we first have a strong base camp."

"Until you get control and full use of your income to build wealth, you will not build and keep wealth."

- Imagine the impact if you were to invest \$2,000 of your monthly income instead of using it for your mortgages, car payments and credit card debts.



The Debt Snowball is basically a strategy for clearing your debt.

- List down all your debts in order of debt balance, from the smallest to largest amounts. Include every loan, e.g. parental loans, zero-interest loans and business loans that're personally-guaranteed. Exclude only your home loan. Don't worry about the interest rates unless there're 2 loans with similar balances, in which case you'd list the one with higher interest rates first.
- Pay off your smallest debts first. These are easier to clear and you'll feel motivated by the progress. The money freed up from the smaller debts will also snowball toward your next-biggest payments. Only repay a bigger debt first if there're major repercussions e.g. a foreclosure.
- Each time you repay a debt, redo the list to see how you're moving toward financial freedom.



Commit 100% to become debt-free and retain a laser-sharp focus.

- Stop taking new loans. Cut up your credit cards and stop buying anything using debt.
- Every dollar counts. Use *all* penalty-free investments and non-retirement savings to pay off your debt, and find ways to tighten the belt, e.g. sell your expensive car and use a fraction of the original monthly payment to get a cheap second-hand car.
- A casual let's-give-it-a-try approach simply won't work. It's also critical to get everyone in the family onboard, e.g. if your husband refuses to sell the luxury car and boat, there's only so much you can achieve by cutting back on groceries.



To gain initial momentum and get your snowball rolling, you need a cash injection. You can:

- Temporarily increase your income, e.g. by taking on a part-time job; and/or

KEY QUOTES

"Total, sold-out, focused intensity is required to win. Aiming at the goal and nothing else is the only way to win."

"You can't get out of a hole by digging out the bottom."

- Sell something. You can either sell many small items in a garage sale, or a few high-value items. As a rule of thumb, if you can't be debt-free on something (except for your house), sell it. This includes luxury items (e.g. a boat with 20 months' outstanding installments) and your rental properties (i.e. don't keep a property with \$50,000 rental equity if you have a \$50,000 credit card debt). Pay off your debt first. You can always buy these items again in future when you're debt-free and have excess cash to spend/invest.

3. Complete your Emergency Fund



✓ By now, you have \$1,000 cash in your emergency fund, no debt besides your home mortgage and some financial momentum. It's time to finish building your emergency fund, so you have 3-6 months of living expenses if you lost your income. The riskier your financial situation, the more you should set aside.

🔑 Keep the money liquid or easily accessible, e.g. in a savings account or Money Market account where there's no penalty for withdrawals. Don't worry about interest rates since you're not relying on this fund to get rich.

- If there's clearly an upcoming emergency (e.g. your wife is pregnant with twins or your company is closing down in 3 months), it's ok to pause the Debt Snowball and build your emergency fund first.
- If you don't own a home yet, start saving for your house only after you've completed this step.

4. Build your retirement fund with 15% of your income



📈 Invest 15% of your annual pre-tax gross income, excluding any matching contributions by your company. This figure is big enough to build your nest egg, yet small enough to leave enough for your home mortgages and other expenses.

🎓 Take the time to learn about investments so you can evaluate your own investment options.

KEY QUOTES

"The mission statement for the emergency fund is to protect you against storms, give you peace of mind, and keep the next problem from becoming debt."

"Investing with the long-term goal of security is not a theory to ponder every few years; it is a necessity you must act on now."

- Ramsey recommends investing in growth-stock mutual funds, which are good for long-term investments. The historical performance of the stock market has been slightly less than 12%.
- In selecting the funds, Ramsey:
 - (i) Only considers those with good track record over at least 5-10 years; and
 - (ii) Spreads his investments evenly across 4 types of funds: Blue Chip funds, Equity funds, International funds and Emerging Market funds.

Calculate how much you must save/invest monthly.

- Ideally, you can withdraw and live on 8% of your nest egg yearly, assuming you deduct 4% inflation from 12% annual investment returns. Calculate your required retirement fund by dividing your desired annual income by 0.08. For example, if you want a \$30,000 retirement income each year, you'll need a total fund of \$375,000.
- Calculate the required monthly savings, taking into account the # years you have to retirement. The later you start, the harder it'll be. For example, to reach \$375,000 by age 65, you'll only have to save \$163.50 p.m. if you start at age 30, but you'll have to save \$636.75 p.m. if you start at age 45.
- This approach requires that you build your nest egg patiently and consistently. It won't work if you keep jumping in and out of the market, or pull out your investments each time you want to buy something.

5. Save up for college



If you don't need to attend college and don't have kids who do, you can skip this step.

Choose a college that you can afford.

- College education is important, but going to the most expensive, prestigious college does not guarantee future success or wealth.

KEY QUOTES

"Start where you are, because that is your only option."

"Systematic, consistent investing is the tortoise that beats the hare in the race. When you keep at it, the investing compounds and explodes."

"College degrees do not ensure jobs. College degrees certainly don't ensure success. College degrees do not ensure wealth. College degrees only prove that someone has successfully passed a series of tests."

Don't prioritize college fees over your emergency funds or chalk up a huge loan for it.

- As a general rule: pay cash, don't take a loan. If you have excess money or a scholarship, go ahead and enrol in a private school. If not, it's better to attend a state school debt-free than to take on a huge loan for a private school.

Calculate how much to save/invest monthly:

- Multiply the annual cost by the number of years to get the total college funds you need, then work backward to calculate the monthly savings required.
- If you're from the USA, you can grow your college funds with an Educational Savings Account (ESA)—this is tax-free for higher education and gives you the choice to invest it in any fund(s) and switch them at will. If you go for the 529 (a state plan), make sure you only go for the flexible plan that allows you to choose/switch your investments.
- If you're starting late and only have a few years before your kid starts college, then get creative. Approach companies that offer scholarships or work-study program, take on summer jobs etc. Do not take up a loan.

6. Pay off your home mortgage



By this phase, you're already fit and are ready to get ultra-fit. Resist the temptation to settle for being "good enough". Finish strong with the last 2 steps to become truly debt-free and truly wealthy.



Once you pay off your home mortgage, you will be totally debt-free. Don't believe the myths about the benefits of home mortgage.

- The tax deductions from the loans do *not* justify the interest payments;
- It's a bad idea to borrow money at lower interest rates to invest in something with potentially higher returns, because you're not accounting for the risks involved. You won't compare the

KEY QUOTES

"Student loans are a cancer. Once you have them, you can't get rid of them."

"Knowledge is what you are after, not a pedigree."

"Finishing well can be more important than starting well."

potential returns from mutual funds with those from a casino roulette spin because the latter is much riskier. Likewise, debt is risky and you could lose your house if something happens during the 15-30 year debt tenure.

-  You can consider refinancing your home mortgage if you'll (i) save on interests and (ii) stay longer in your home than the duration it'd take to breakeven. Remember to ask for a par quote so you don't end up pre-paying the interests.

7. Build wealth



 By now, you're debt free, in control of your finances and are systematically planning, saving and investing for your future needs. You become truly wealthy when the returns from your investments are higher than your regular income. That means you have money working 24x7 for you, regardless of whether you work. From here, building your wealth will seem like an easy downhill ride instead of a tedious uphill climb.

 Money won't solve all your problems or make you happy, but it can certainly give you more options in life. Money is also not inherently good or bad but will merely amplify who you are. To make the most of your resources, use your wealth for all of these 3 things.

- Have fun. To get to this step, you may have given up your fancy cars and luxury house which were bought using debt. But if you're now debt-free, have a healthy emergency fund, millions invested and a stable monthly income, it's ok to reward yourself. Use the spare cash to have some fun—bring your family for a luxurious holiday, buy a nice diamond or car.
- Invest to keep building your wealth over the long-term. When you have a strong financial foundation, you're less likely to panic in face of temporary market fluctuations and can deliberately buy low and sell high to multiply your wealth. Keep your investments simple until you have >\$10 million. Develop a "wealth team" by surrounding yourself with people who're financially stronger than you, and hire qualified financial planners who're humble, nurturing and will act with your best interests in mind.

KEY QUOTES

"When your money makes more than you do, you are officially wealthy."

"To possess riches is to have the right to say how they will or will not be used."

"Someone who never has fun with money misses the point. Someone who never invests money will never have any. Someone who never gives is a monkey with his hand in a bottle. Do some of each."

- Give. Don't hog your wealth. Giving to others can be deeply rewarding and will only enrich (not impoverish) you.



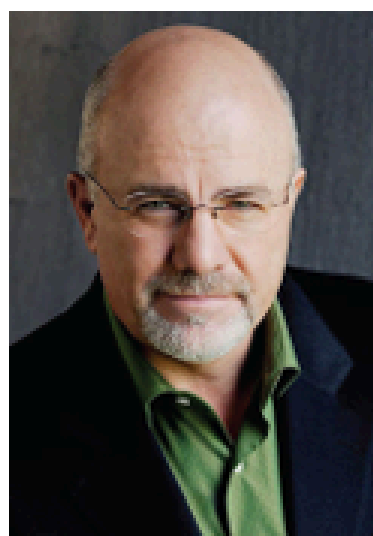
Conclusion & Other Details in the Book

If you follow the 7 steps in the TMM plan above, you *will* become wealthy in the next 20-40 years. The process is like how an overweight person gradually becomes fit, then ultra-fit. It's the hardest at the start, but it gets progressively easier once you've shed some weight and gotten in shape. In the book, Ramsey also shares:

- Short examples and calculations to illustrate the financially-unsound decisions that we make in our daily lives;
- Various US-centric examples and illustrations of retirement-related regulations and tools, additional debt and money myths; and
- Many short stories of people who've transformed their financial situation with the TMM.

You can download Ramsey's Financial Peace software program and get more details at daveramsey.com or MyTotalMoneyMakeover.com.

About the Author



David Ramsey (born 1960) is an American radio show host, author and businessman. Ramsey graduated from the College of Business Administration at University of Tennessee. In 1988, he filed for bankruptcy as he was unable to repay the loans on his rental real estate portfolio. After recovering financially, Ramsey started to counsel couples at his church, and later developed a range of lessons, materials and tools on financial health and transformation.

Ramsey's company, The Lampo Group, Inc., focuses on financial education. His syndicated radio program, The Dave Ramsey Show, is heard on more than 500 radio stations throughout the United States and Canada. He has written numerous books. Ramsey was named the 2009 Marconi Award winner for Network/Syndicated Personality of the Year and was inducted into the National Radio Hall of Fame in 2015.

KEY QUOTES

"Only the strong can help the weak, and that is true of money too."